(a) Partners' capital account

Capital account is credited with the original amount of capital introduced by a partner into the business and any additional capital introduced by him/her in the subsequent years. The account is debited with the amount of capital permanently withdrawn by a partner from the business. No other items are debited or credited to this account. Capital account will always show credit balance under this method. The balance of capital account remains the same unless any additional capital is introduced or capital is permanently withdrawn.

Format of partners' capital account under fixed capital method

Dr. **Partners' capital account** **Cr.**

Date	Particulars	A	B	Date	Particulars	A	B
		₹	₹			₹	₹
	To Cash/Bank A/c	xxx	xxx		By Balance b/d	xxx	xxx
	(permanent withdrawal				By Cash/Bank A/c	xxx	xxx
	of capital)				(additional capital		
	To Balance c/d	xxx	xxx		introduced)		
		xxx	xxx			xxx	xxx

(b) Partners' current account

Partners' current account is prepared for recording all transactions between the partner and the firm other than initial capital introduced, additional capital introduced and capital permanently withdrawn. This account is credited with interest on capital, partner's salary or commission and share of profit to the partner. This account is debited with drawings, interest on drawings and share of loss of the partner. As a result, the balance in this account changes periodically. Current account may show either credit balance or debit balance.

Format of partners' current account under fixed capital method

Dr. **Partners' current account** **Cr.**

Date	Particulars	A	B	Date	Particulars	A	B
		₹	₹			₹	₹
	To Balance b/d*	xxx	xxx		By Balance b/d*	xxx	xxx
	To Drawings A/c	xxx	xxx		By Interest on capital A/c	xxx	xxx
	To Interest on drawings A/c	xxx	xxx		By Salary A/c	xxx	xxx
	To Profit and loss				By Commission A/c	xxx	xxx
	appropriation A/c	xxx	xxx		By Profit and loss		
	(share of loss)				appropriation A/c	xxx	xxx
	To Balance c/d**	xxx	xxx		(share of profit)		
					By Balance c/d**	xxx	xxx
		xxx	xxx			xxx	xxx

Note: * The opening balance may be either credit balance or debit balance for a partner.

** The closing balance may be either credit balance or debit balance for a partner.

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